

Essential Commodities Control (Authorization) Act, 1961

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Essential Commodities Control (Power) Act, 2017

Royal Seal and Date of Publication

2017.11.16

Amending Acts

1. Nepal Acts Amendment, Repeal and Re-enactment Act, 2019 2019.12.30
2. Essential Commodities Control (Power) (First Amendment) Act, 2030 2030.12.11
3. Administration of Justice Act, 2048 2048.2.16

Certification and Date of Publication

4. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
5. Some Nepal Acts Amendment Act, 2072 2072.11.13
6. Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075 2075.11.19

Act No. 28 of the year 2017

An Act Made to Provide for the Power to Control Essential Commodities

Preamble: Amended by the Nepal Acts Amendment, Repeal and Re-enactment Act, 2019. Whereas it is expedient to make provision for the power to impose strict control as necessary from time to time on the distribution, sale and trade of food grains, goods and articles required for the daily use, practice and diet of the society in order to maintain the convenience of the general public;

Therefore, His Majesty the King Mahendra has, in accordance with Article 93 of the Constitution of Nepal Amended by the Nepal Acts Amendment, Repeal and Re-enactment Act, 2019., enacted this Act. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Essential Commodities Control (Power) Act, 2017".

(2) It shall extend throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(3) It shall come into force immediately. 2.

Definition: Unless the subject or context otherwise requires, in this Act,- (a) "Essential commodity" means any of the following commodities: (1) Paddy and rice, maize, wheat, millet, barley and their flour, refined flour and other food grains of a similar nature; (2) Pigeon pea, black gram, black lentil, red lentil, chickpea, pea, soybean and their flour and other food grains of a similar nature; (3) Linseed, mustard, rapeseed, sesame and other oilseeds of a similar nature used for extraction of oil, and all kinds of oil; (4) Milk and edible products prepared from milk; (5) Sugarcane and jaggery, sugar, gur and other similar substances produced therefrom; (6) Cotton or woollen clothes, textiles, cotton and wool; (7) Raw jute and articles manufactured

therefrom; (8) Kerosene, petrol, diesel and all types of lubricants; (9) Iron and articles manufactured from iron; (10) Cement, bricks, corrugated galvanized iron sheets and other articles required for construction; (11) Vehicles and tires, tubes, spare parts required for such vehicles; (12) Salt; (13) Medicines; (14) Any substance or article specified by the Government of Nepal from time to time by a notified order as an essential commodity. (b) "Notified order" means Amended by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. an order published in the Nepal Gazette in respect of the Government of Nepal and in the Provincial Gazette in respect of a Provincial Government. 3.

Power to Control Production or Distribution of Essential Commodities: (1) For the purpose of increasing, maintaining or ensuring equitable distribution or making available at fair price of any essential commodity, Amended by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. the Government of Nepal or the Provincial Government may, if it deems necessary or expedient, by notified order, regulate or control the production, distribution or trade of such essential commodity in specified places. (2) Without prejudice to the generality of the power conferred by sub-section (1), such order may provide for all or any of the following matters: (a) regulating or controlling by issue of licenses or otherwise the storage, distribution, transport, production, trade or consumption of any essential commodity; (b) fixing the sale or purchase price of any essential commodity or controlling the price so that no increase in the prevailing price of any essential commodity may be made without the approval of an authority specified by notified order; (c) prohibiting the withholding from sale of any essential commodity ordinarily kept for sale; (d) compelling any person holding stock of any essential commodity to sell the whole or such portion or part of such stock as may be specified to Amended by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. the Government of Nepal or the Provincial Government or any officer or any person or class of persons, under specified conditions in a specified area; (e) regulating or prohibiting any commercial or financial transaction relating to any essential commodity if deemed necessary in the public interest; (f) collecting news or statistics for the purpose of regulating or prohibiting any or all of the matters aforesaid; (g) requiring any person engaged in storing, distributing or trading in any essential commodity to maintain correct records and account books and to produce such records and account books for inspection or to furnish information or returns relating thereto; (h) requiring a fee for the grant of any license or a security deposit as may be specified for the observance of the terms and conditions of such license, and for forfeiture of the whole or part of the security deposit in case of breach of any condition of the license, and for the appointment of an authority for that purpose; (i) for any incidental and supplementary matters, particularly for entering and searching any godown, vehicle, boat, aircraft, and for seizing any article found upon such search which the person making the search believes to be in respect of which an order has been or is about to be contravened; (j) specifying the commodity liable to forfeiture when imposing punishment for contravention of an order; and (k) any other necessary matter relating to this section.

3A. Standards Relating to Regulation of Production, Distribution or Trade of Essential Commodities: Inserted by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. (1) The Government of Nepal may determine necessary standards relating to the regulation or control of the production, distribution or trade of essential commodities.

(2) When regulating or controlling the production, distribution or trade of an essential commodity pursuant to Section 3, the Provincial Government shall do so subject to the standards determined pursuant to sub-section (1). 4. Penalty for Doing Any Act Contrary to Order: (1) If any person does any act contrary to an order issued under Section 3, he shall be liable to imprisonment for a term up to five years or a fine up to fifteen thousand rupees or up to the amount of the value of the commodity involved in the offence, whichever is higher, or

both. Provided that,

A person who fails to maintain a stock register or account book, fails to produce it, or fails to give information as ordered, within the period specified by an order under clauses (f) and (g) of sub-section (2) of Section 3, shall not be punished with imprisonment exceeding one year or a fine exceeding three thousand rupees.

(2) If the commodity involved in the offence committed contrary to an order under Section 3 has been specified as liable to forfeiture in the order issued under that Section, such commodity shall also be forfeited.

5. Attempt and Abetment: Any attempt to contravene or abetment to contravene an order made under Section 3 shall be deemed to be a contravention of that order. 6. Penalty for Giving False Statement: If any person commits any of the following offences, he shall be liable Amended by the First Amendment. to a fine of ten thousand rupees or imprisonment for a term up to three years, or both:

(a) if, when any order has been made under Section 3 requiring any person to make a statement or give information, he intentionally or without reasonable cause gives a false statement, deposition or information; or

(b) if, while maintaining any register, paper, account, ledger, deed, bond, account or other document required to be kept under this order, he is found to have made a false or fraudulent entry. 6A.

Penalty for Offence Committed by a Body Corporate or Company: Inserted by the First Amendment. (1) If the person committing an offence under this Act is a body corporate or company, every director, manager, other officer or person having control over the affairs of such body corporate or company shall be liable for such offence unless he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent such offence. (2) Notwithstanding anything contained in sub-section (1), where an offence committed by a body corporate or company is proved to have been committed with the consent or connivance of, or to be attributable to the negligence of, any director, manager or other officer of such body corporate or company, such director, manager or officer shall also be liable for punishment under this Act. Amended by the First Amendment. 7. Authority to Try Cases: (1) The authority for the initial hearing and disposal of cases relating to offences punishable under this Act shall be Amended by the Some Nepal Acts Amendment Act, 2072. the District Court. (2) While conducting proceedings of a case under this Act pursuant to sub-section (1), the Amended by the Some Nepal Acts Amendment Act, 2072. District Court shall follow the procedure and exercise the powers as provided in the Special Court Act, 2059. (3) An appeal against a decision made by the Amended by the Some Nepal Acts Amendment Act, 2072. District Court pursuant to sub-section (1) shall lie to the High Court. Inserted by the First Amendment. 7A. Government of Nepal to be Plaintiff: The Government of Nepal shall be the plaintiff in cases relating to offences punishable under this Act Inserted by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. and such case shall be deemed to fall under Schedule-1 of the The "Muluki Criminal Procedure Code, 2074" substituted by the Some Nepal Laws Amendment Act Relating to the Civil Code, 2075. Muluki Criminal Procedure Code, 2074. 8. Power to Delegate: Amended by the First Amendment. (1) Amended by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. The Government of Nepal or the Provincial Government may, by a notified order, delegate any or all of the powers exercisable by it under this Act to any officer. (2) Without prejudice to the generality of the power conferred by sub-section (1), by such order the Amended by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075.

Government of Nepal or the Provincial Government may delegate the following powers:

(a) to search any house, camp, boat, vehicle or aircraft;

(b) to seize and cause to be deposited any commodity in respect of which such officer has reason to believe that an offence under this Act has been committed;

(c) to arrest any person whom such officer has reason to believe has committed an offence under this Act. The proviso phrase deleted by the First Amendment. 9. Protection of Acts Done in Good Faith: No suit or other legal proceedings shall lie against any person for any act done or intended to be done in good faith in pursuance of an order made under Section 3. 10. Informant to Receive Commission: If, upon a complaint lodged regarding a contravention of an order issued under this Act by Amended by the Some Nepal Laws Amendment Act to Make Compatible with the Constitution of Nepal, 2075. the Government of Nepal or the Provincial Government, the accused is convicted and a final judgment is rendered, the informant shall receive a commission of twenty-five per cent (25%) of the value of the forfeited commodity, or if no forfeiture is made, of the fine realized. 11. In Case of Conflict with Existing Nepal Laws: Matters provided for in this Act shall be governed by this Act, and matters not provided for in this Act shall be governed by the existing Nepal laws.